E V G

02.15.2026 - 02.23.2026

Enterprise Valuation Group

WEEKLY NEWSLETTER

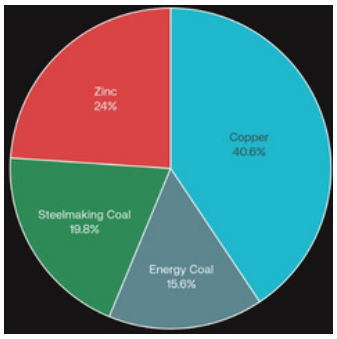
M&A | MARKETS | TECHNICALS

The Megadeal Never Done: Recapping the Collapse of the Rio Tinto-Glencore Merger

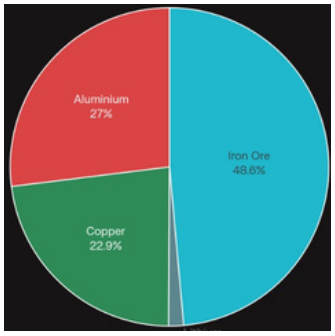
The next commodities supercycle is already underway. AI data centers are driving hockey-stick growth in power storage demand, which could exceed 160 GWh in the US alone. Key inputs have already responded: lithium carbonate prices are up 65% since mid-December, copper cathode premiums in Southeast Asia have risen 36%, and the US Midwest aluminum premium has reached levels not seen since the 2000s. Against this backdrop, the so-called "mega merger of all time" re-emerged but ultimately failed to materialize.

A combined Rio Tinto and Glencore would create an unrivaled, diversified giant valued at approximately $200 billion.

The two companies feature highly complementary portfolios, with Rio Tinto historically concentrated in iron ore and aluminum, while Glencore dominates in copper, coal, and global commodity trading. This massive balance sheet and diversified asset mix would smooth out cash flows and lower the group's overall cost of capital. Additionally, combining their operations would create unprecedented market power and commercial reach across copper, their main overlapping segment.



Glencore 2025 Adj. EBITDA Breakdown



Rio Tinto 2025 Revenue Breakdown

The merger dance between these two companies has a long history, beginning in July 2014 when Rio Tinto's board unanimously rejected a takeover proposal from Glencore. Following that rejection, UK takeover rules prohibited Glencore from making another offer for six months, cooling the immediate prospect of a tie-up. The idea resurfaced with renewed discussions in late 2024, paving the way for a much more serious attempt in January 2026. During this latest round, Rio Tinto acted as the acquirer, and both parties engaged in a rigorous due diligence process for the first time. However, the talks were officially terminated on February 5, 2026, because the companies could not agree on terms before a strict UK regulatory deadline.

On the day of announcement of the merger collapse, Glencore stock dropped 11%, eventually closing 8% lower on the LSE. Rio's London shares fell 3% while its Australian listing fell 1.4%. The evaporation of the merger premium pushed Glencore shares back to their fundamental value.

The repeated failure to close a deal ultimately stems from chronic disputes over valuation and post-merger governance. At the core is a profound cultural clash between the two organizations' operating models. Rio Tinto operates with a conservative, process-heavy culture focused on capital discipline, operational simplicity, and holding top-tier assets. In contrast, Glencore is highly entrepreneurial and trading-oriented, possessing a much higher tolerance for leverage, risk, and commodity price exposure. Furthermore, Glencore's trading arm, which thrives on volatility , remains difficult to value accurately in a traditional mining merger scenario.

Even though the merger talks have collapsed yet again, the fundamental rationale for such an acquisition is arguably stronger than ever. The strategic appeal of combining top-tier production with trading will continue to be a focal point for the sector's future.

Ticker	Company Name	Market Cap (B)	Revenue Growth	Forward EBITDA Margin	Forward NI Margin	Beta 5 Year Monthly	Debt to EBITDA	DSCR	Forward P/E	Forward EBITDA
RIO.L	Rio Tinto PLC	163.50	2.4%	45.3%	21.5%	1.08	0.93	9.36	11.88	6.62
GLEN.L	Glencore PLC	81.10	1.2%	5.8%	1.8%	1.54	3.52	0.20	17.61	6.52

Physical AI's Impact on the Future of Work and National Defense

China's annual CCTV Spring Festival Gala on Monday featured four humanoid robot startups, Unitree Robotics, Galbot, Noetix, and MagicLab, in a nationally broadcast showcase comparable in viewership to the Super Bowl. (TRADING ECONOMICS) Unitree's G1 and H2 machines performed what the company called the world's first fully autonomous martial arts performance, including the first continuous freestyle table-vaulting parkour, the first launched aerial flip reaching nearly ten feet high, and a two-step wall-assisted backflip. (Babypips) The contrast with 2025 was stark, last year's robots twirled handkerchiefs and shuffled awkwardly; this year's machines were leaps ahead in agility, coordination, and fault recovery. (Forex)

Morgan Stanley projects humanoid robot sales in China to more than double to 28,000 units in 2026, and analysts read the gala as a showcase of China's industrial ambition (Reserve Bank of New Zealand) rather than mere entertainment, the underlying swarm coordination and fault-tolerant balance have direct applications in factory automation and logistics. The broader context is hard to ignore: Alibaba also released RynnBrain this week, a model specialized for physical AI and robotics, helping machines understand and interact with the real world. (Babypips)

This is the most consequential story of the week, and one with direct relevance for anyone watching US tech policy and national security. The US military reportedly used Anthropic's AI tool Claude during the operation that captured Venezuelan President Nicolás Maduro making Anthropic the first AI developer known to have had its technology used in a classified Pentagon mission. (Babypips) Claude was accessed through Anthropic's partnership with Palantir Technologies, which runs the military's Maven Smart System, and was reportedly used during the active operation itself, not just in preparation for it. (Forex)

The fallout has been significant. The Pentagon is now reviewing its relationship with Anthropic, with its chief spokesperson stating that "our nation requires that our partners be willing to help our warfighters win in any fight." (Babypips) The core dispute is that the Pentagon wants AI labs to allow military use for "all lawful purposes," while Anthropic has held firm on two specific limits: mass surveillance of Americans and fully autonomous weaponry. (LiteFinance) The Pentagon's Undersecretary of Defense for Research and Engineering publicly urged Anthropic to "cross the Rubicon" (RoboForex) on military AI use cases. The awkward backdrop: OpenAI, Google, and xAI have all already agreed to military access without standard consumer safeguards meaning Claude is currently the only frontier model on classified networks, but its position there is now under threat. (Forex)

A counterintuitive story emerged this week to complicate the standard AI-kills-jobs narrative. IBM announced it will triple entry-level hiring this year, redesigning positions so early-career employees focus less on repetitive coding and more on client engagement and higher-value tasks augmented by AI. (ActionForex)

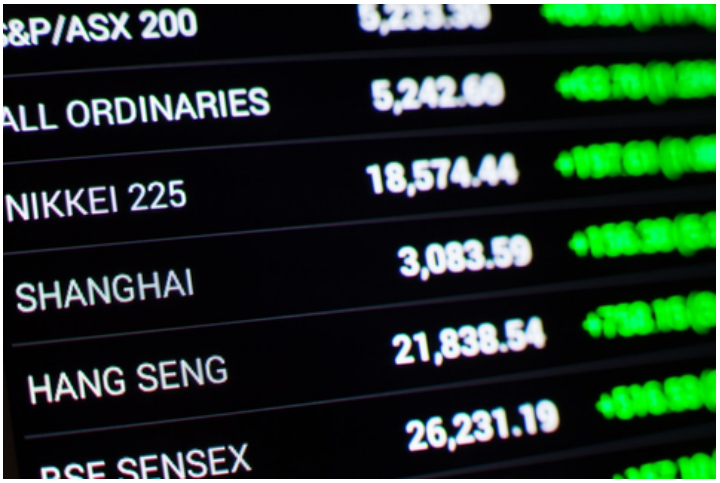
At the same time, Spotify CEO Gustav Söderström revealed that the company's most senior developers have not written a single line of code since December, instead using AI to generate code and supervising its output (DailyForex) framing AI not as a replacement for engineers but a transformation of what they do. The picture is far from settled though. ByteDance's Doubao 2.0 and Alibaba's Qwen 3.5 are shipping frontier-level models at a furious pace, often open-source or very low-cost, focusing on agents that can execute complex multi-step tasks rather than simply answer questions (Babypips) the kind of work that historically required teams of people.

MARKETS UPDATE

EQUITIES

Mining Industry Expands to Meet Tech Demands: To meet the demands of rising technological advancements, several mines in North and South America were granted expansions to promote production for raw materials such as copper and coal. Some mining companies, such as Aris Mining (ARIS.TO), which announced expansion projects in Columbia, were uplisted on the NYSE. Other mining companies, including Hycroft Mining Holding Corp (HYMC), Hecla Mining (HL) Franklin Templeton reported strong stock performances, high revenue, and increased values in precious metals, including gold and silver.

Increased Investments in Asian Markets: Goldman Sachs noted that global hedge funds purchased a record amount of stock from developed and emerging markets in Asia during the week of February 13, 2026. Markets varied in real estate, tech companies, industrials, and consumer discretionary shares, but not in financials. Trades were made after anticipated increases in stock prices. Several stock markets in Asia, including in Japan, Taiwan, and South Korea, reported positive weekly returns. Conversely, world indices fell as investors sold off technology shares due to concerns about overinvesting in AI's disruptive impacts.



DJIA Outperformance: Earlier this month, The Dow Jones Industrial Average almost surged above the 50,000 mark for the first time. This is a historic milestone as investors expanded their investments beyond technology. In late January, the Dow led a rally in the market after a broad selloff, which impacted several software industry companies amid concerns that AI could create more competition.

Earning Season Wrap-Up: The S&P 500 earning seasons is ending with an 12% increase in profits from almost a year ago, despite Trump implementing a 15% US tariff rate on global imports. 75% of the 85% companies reported have beaten estimates. 10 of the 11 sectors are growing, led by the Industrials/Materials, Technology, and Financials sectors.

RATES

2Y 3.48%, 5Y 3.65%, 10Y 4.08%, 30Y 4.72%

U.S. Treasury yields ended the week modestly lower across the curve, but the path there was anything but quiet. The dominant force mid-week was Wednesday's FOMC minutes, which revealed a Fed more divided than markets had anticipated with some members flagging the possibility of rate hikes if inflation remains stubborn. That hawkish signal pushed yields higher across the board, with the 10-year briefly testing toward 4.15%, as traders pared back expectations for near-term cuts.

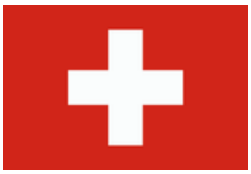
The back end of the week then pulled yields back down from their highs, but for conflicting reasons. Friday's Q4 GDP print came in at just 1.4% well below the 3% consensus which ordinarily would have driven a strong bid into Treasuries. Instead, the rally was capped by core PCE holding firm at 3.0% year-over-year, leaving the Fed with weak growth and sticky inflation simultaneously. The stagflationary combination made it difficult for the market to commit to a direction.

The day's most dramatic moment came from the Supreme Court's 6-3 ruling striking down IEEPA tariffs, which briefly sent yields lower on the logic that reduced trade barriers could ease inflationary pressure and give the Fed more room to cut. That move partially reversed when President Trump announced a replacement 10% global tariff almost immediately, restoring uncertainty about the inflation outlook. The 10-year ended the day essentially flat from where it had opened, a fitting conclusion to a week where the forces on yields largely cancelled each other out. Markets are currently pricing two 25-basis-point cuts by year-end, a more conservative expectation than the three cuts being discussed just weeks ago.

FX

GBP/USD – 1.3481 (-1.25%) Sterling was the week's worst-performing major. UK unemployment rose to 5.2% on Tuesday, its highest since February 2021, cementing expectations for a Bank of England rate cut as soon as March. The pair traded defensively in a 1.3435–1.3483 range on Friday, capped by ongoing concerns over political uncertainty surrounding PM Starmer's cabinet and the broader dovish BoE pricing. UK Manufacturing PMI came in at 53.9 and Services at 53.9, both solid, but failed to offset the weight of the labour data and dollar strength.

EUR/USD – 1.1786 (-0.69%) The euro retreated modestly over the week, pressured by hawkish FOMC minutes mid-week that raised questions about the pace of Fed rate cuts. Friday brought a sharp intraday spike above 1.1800 after the Supreme Court struck down IEEPA tariffs briefly the week's high before the pair reversed as Trump announced a replacement 10% global tariff. Strong Eurozone PMI data and confirmation from ECB President Lagarde that she intends to serve her full term provided modest underlying support but were not enough to offset the dollar's mid-week recovery.



USD/CHF – 0.7754 (+0.98%) The franc weakened modestly against the dollar after sharply outperforming the prior week. Safe-haven demand for CHF diminished as risk sentiment stabilized mid-week, and the dollar's FOMC-driven bid was the dominant force. The pair's intraday range on Friday ran from 0.7730 to 0.7772. The SNB has remained notably relaxed about franc strength, limiting intervention expectations, while the ongoing dollar debasement trade and a structural CHF tailwind prevented a more aggressive reversal.

AUD/USD – 0.7086 (+0.18%) The Aussie was the week's most resilient major, essentially unchanged on the week. Hawkish RBA minutes on Tuesday confirming a unanimous February rate hike and flagging persistent inflation risks provided a durable floor for the pair, keeping it anchored near multi-year highs. Friday saw the AUD/USD test towards 0.7100 before easing back modestly alongside broad USD stabilization. Markets continue to price a further RBA hike in May, which remains a structural support for the currency.

USD/JPY – 154.99 (+1.50%) The yen gave back a significant portion of the prior week's election-driven gains. A brief Monday meeting between PM Takaichi and BoJ Governor Ueda was read as offering little near-term policy coordination, and the pair climbed steadily through the week. Strong Japanese export data on Thursday, the fastest pace in over three years, offered fleeting yen support before USD/JPY resumed higher. Friday's inflation print, showing Japanese CPI slowing to 1.5% in January from 2.1% in December, complicated the case for near-term BoJ tightening and kept the yen on the back foot into the close.

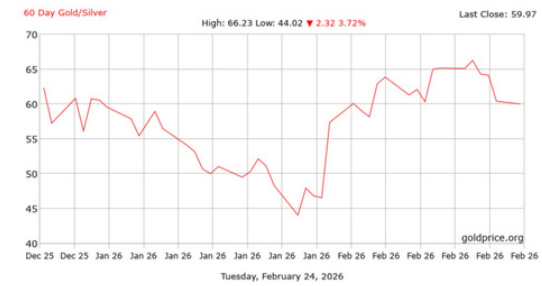
USD/CAD – 1.3674 (+0.42%) The Canadian dollar softened through the week after January CPI badly missed on Tuesday headline printing flat at 0.0% month-on-month against a +0.2% forecast, slowing to 2.3% year-on-year. With the Bank of Canada on hold at 2.25% and offering little hawkish guidance, the relative rate outlook tilted against the loonie. Oil prices provided a mixed impulse; a 9 million barrel US inventory draw was bullish, but OPEC+ supply-increase speculation capped crude. The pair oscillated in a 1.3679–1.3803 range on Friday as Iran/US tensions added a safe-haven bid for the dollar.

Commodities

Gold at $5190

Fundamentals: the Fed's recent pivot away from QT and its use of repo backstops to inject liquidity has been pushing down the dollar. Against the backdrop of gold's gains last year, institutional asset managers increasingly view gold a a steadily appreciating asset rather than a hedge against inflation.

Tacticals: following a recent blow-off top near $5600, gold has entered a high-volatility plateau. It has established a support zone around $4900 while sellers have defended te $5100 resistance zone. Due to silver's rally, the Gold-Silver ratio has compressed from over 105:1 in April 2025 to a 15-year low of 57:1 recently. Statistical analysis implies that when the ratio falls outside 60:1 and 80:1, prices trend toward mean reversion.



Silver at $90

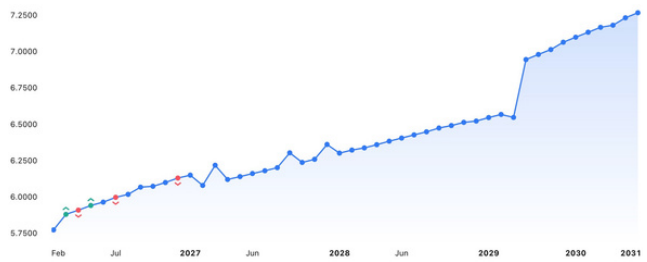
COMEX Squeeze:in Jan and Feb, market participants began demanding physical delivery rather than cash-setlling their contracts. As of now, the Registered inventory covers only about 14% of the existing paper open interest, leaving the exchange vulnerable if more market participants demand physical metal. Owners of Eligible silver also began withdrawing inventory, which signaled a loss of trust.

Definitions: Eligible silver is physical metal that meets exchange standards for purity, stored within a COMEX-approved depository. It is privately owned and not available for delivery against futures contracts. Registered silver is fully available for immediate delivery.

Copper ($5.88/lb, $12700/metric tonne)

Supply-side shocks: a fatal incident at Freeport-McMoRan's Grasberg mine in Indonesia caused the mine to close until 2027, causing a loss of 270 000 tons of output for 2026.

Tacticals: spot premiums in China have flipped to a discount, indicating end-users are deferring supply to avoid paying near-term high prices. As speculative trading frontrunning US tariff narratives cooled, liquidity thinned and prices traded sideways. However, copper remains highly volatile and sensitive to the dollar.



HG1! Futures curve

Copper Future Price (6months)

Oil (WTI at $66.7, Brent at $71.7)

Geopolitical Drivers: On Feb 20, Trump issued an ultimatum to Iran regarding its nuclear program, stating that he is considering limited military strikes. The tail risk could disrupt 3 millions bpd, or 3% of global supply. The US-brokered Russia-Urkaine talks failed, indicating that sanctions on the Russian oil suppl chain will remain in place.

TECHNICALS CORNER

INVESTMENT BANKING

When doing a DCF, how should you calculate a company's levered beta?

SALES AND TRADING

If your view was that there would be a large single-direction move in a stock but with a narrow distribution of outcomes, how would you express that view with options?

BRAIN TEASER

How many flights have been cancelled so far due to NYC's snowstorm? (don't search it up!)

ANSWERS TO LAST WEEK'S

Banking: Equity Value decreases by $100 because $100 worth of shares were repurchased. Debt increases by $100, cash doesn't change (the borrowed money has been used immediately), therefore Enterprise Value doesn't change.

SnT: Macaulay duration is the present-value-weighted average time of all principal and coupon payments, in units of years. Modified duration equals Macaulay duration divided by (1+y), where y is the yield per period

Brain Teaser: MS HQ volume: 120 000 m2 total floor area * 3m per floor = 360 000 m3 of interior space, a standard soccer ball has diameter of 22cm, with a volume of 4/3 pi * 0.11 = 0.0056 m3. Assuming maximum packing efficiency with an efficiency ratio of 64%, 360 000/ 0.0065 * 0.64 = roughly 41 million soccer balls